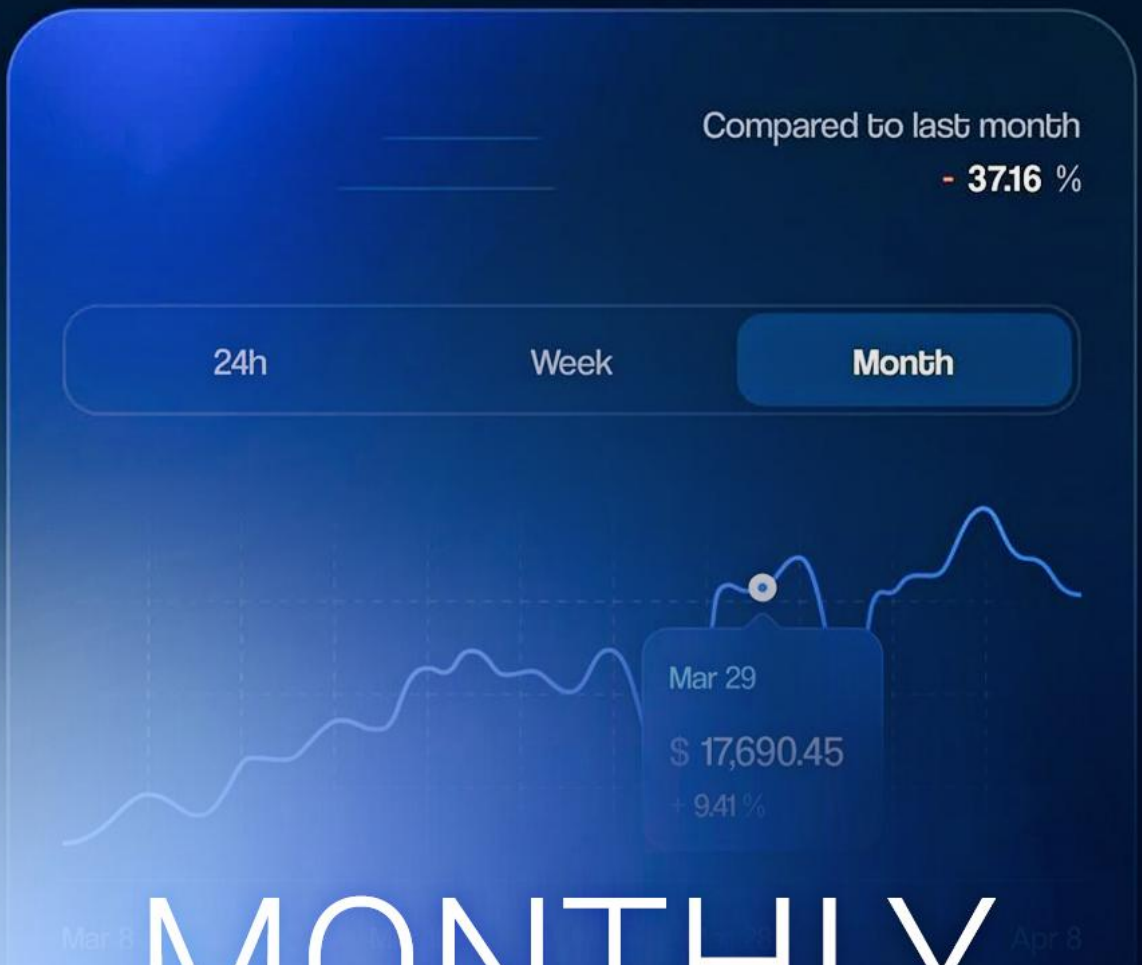
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AIB-AXYS January 2026 Stock Recommendations

December 2025 Highlights

- **Government Divestiture in Safaricom - The government announced plans to offload a 15.0% stake in Safaricom by selling to Vodafone Kenya, which will take Vodafone's shareholding to 55.0%, while the government's stake will shrink to 20.0%.** Additionally, Vodacom, the largest shareholder in Vodafone Kenya, will increase its stake from 87.5% to 100.0% through an internal reorganization. Vodafone is set to acquire these shares at KES 34.0 per share, which was a premium at the time of the announcement, bringing the total transaction value to KES 203.3 Bn. It is important to note that despite the majority shareholding, Vodafone does not plan to initiate a takeover offer for Safaricom. In addition, the deal entails Vodafone acquiring the right to receive Safaricom's future dividends and making a KES 40.2 Bn upfront payment to the Government of Kenya for the remaining 20.0% shareholding. Safaricom dividends contribute a significant portion of non-tax revenues to the exchequer.

- The Kenyan government plans to channel the proceeds from this transaction to the Infrastructure and Sovereign Wealth Fund, as it focuses on boosting non-tax revenue to fund its agenda, which may ease pressure to raise additional tax revenue. This transaction will not affect the day-to-day operations of the telco. Other conditions tied to the transaction include requirements that the Chairman and the CEO be Kenyan citizens, and that independent directors maintain a Kenyan majority at all times
- **Diageo Offloading Stake in East Africa Breweries PLC – In a notice to shareholders, EABL noted that Asahi Group Holdings, domiciled in Japan, had entered into a conditional share purchase agreement with Diageo to acquire 20,525,882 ordinary shares in Diageo Kenya Limited.** The consideration for the share purchase is USD 2.35 Bn, which, according to our in-house assessment, points to a significant premium. This implies that Asahi will consequently acquire a 65.0% stake in EABL. Asahi intends to maintain EABL's listings in Kenya, Tanzania, and Uganda. After completion, and with the support of Asahi, EABL's locally owned brands will remain under EABL, while refreshed agreements will be put in place for EABL to produce certain Diageo spirits and ready-to-drink brands.

  The acquisition aligns with Asahi's expansion strategy across its existing businesses as well as its entry into new business areas. Kenya and the wider East Africa region are considered ideal for Asahi's medium to long-term growth strategy, supported by population growth and continued economic expansion. Asahi sees high growth potential and stable profitability in the business, underpinned by a strong brand portfolio and ongoing operational efficiency initiatives.
- **WPP Scangroup issued a Profit Warning – On 19th December 2025, WPP Scangroup issued a profit warning, noting that its 2025 financial results will be 25.0% lower than those reported in 2024.** Scan Group cited reduced client spending, loss of a material client, and lower interest income.
- **December 2025 CPI – Latest data from the Kenya Bureau of Statistics (KNBS) indicates that December's inflation came in at 4.5%,** unchanged from November 2025. This implies that consumer prices were 4.5% higher in December 2025 compared to December 2024, signaling continued price stability within the CBK's 2.5%–7.5% target. On a month-on-month basis, the CPI rose by 0.6%, from 147.08 in November to 148.02 in December, with core inflation easing further to 2.0%, while non-core inflation increased to 11.2%, driven by elevated food and transport price pressures.

Table 1: Summary of Latest Net Earnings Results

	Company	Comment
1.	**ABSA Bank**	Q3'25 posted a 15.1% y/y rise in PAT to KES 16.92Bn, supported by sharply lower impairments, cost discipline, and stronger non-interest income. NII softened on reduced loan margins and a smaller loan book, though increased allocation to government securities cushioned performance. Asset quality improved with the NPL ratio easing to 12.6%, while a resilient funding base and diversified fee income helped sustain earnings momentum.
2.	**Co-operative Bank**	Q3'25 posted a 12.3% y/y rise in net earnings to KES 21.56Bn, supported by strong NII growth (+22.8% y/y) driven by an expanding loan book and lower interest expenses. Provisions eased 31.9% y/y, lifting profitability, while the bank declared its first-ever interim dividend of KES 1.0, signaling strengthened shareholder value creation.
3.	**Diamond Trust Bank**	Q3'25 posted a 12.3% y/y rise in PAT to KES 8.36Bn, supported by strong NII growth (+17.9% y/y) and a 7.8% expansion in the loan book. Non-funded income fell 5.9% y/y on softer FX and lower fees, though transactional flows remained resilient. Operating income rose 10.5% y/y, with cost discipline maintained despite higher provisions as NPLs edged up. A solid funding base, reflected in 15.5% y/y growth in deposits, and strengthened capital buffers underpinned balance sheet resilience.
4.	**E.A Breweries Limited**	Net earnings rose 20.0% y/y to KES 8.1Bn, supported by an 11.0% uptick in EBIT to KES 15.6Bn, driven by improved cost control and a FX gain of KES 1.2Bn compared to a loss of KES 2.3Bn in H1'24. Gross profit, however, slipped 5.0% y/y to KES 28.1Bn on higher input costs, while expenses increased 4.0% y/y. EPS improved 11.0% y/y to KES 7.65, reflecting resilient profitability despite margin pressures. The Board of Directors recommended an interim dividend of KES 2.50 per share.
5.	**E.A Portland Cement**	Net earnings improved to a profit of KES 35.1Mn from a loss of KES 720.7Mn. This return to profitability was anchored on improving sales volume driven by strategic pricing. Additionally, improved plant utilization helped minimize operational costs, improving retained earnings in the period.
6.	**Equity Group**	Q3'25 posted a 32.2% y/y rise in PAT to KES 54.1Bn, driven by a 16.1% increase in net interest income and sustained cost discipline. This offset modest growth in non-interest income (+2.5%), delivering strong operating leverage. Regional subsidiaries remained key profit drivers, contributing over 40% of Group PAT, with continued momentum in DRC, Uganda, and Tanzania. Loans expanded 7.5% y/y versus deposits up 2.2%, pushing the loan-to-deposit ratio to 63.9%, reflecting a more active lending stance and reinforcing the Group's balance sheet resilience and profitability.
7.	**I&M Group**	Q3'25 results reflected solid balance sheet growth, resilient earnings, and strengthened capital and liquidity buffers. Loan book expansion and steady deposit growth supported funding stability, while asset quality remained stable with improved provision coverage. Earnings momentum was reinforced by diversified income streams and continued positive contribution from regional subsidiaries
8.	**Kapchorua Tea**	Net earnings plunged by 54.6% y/y to KES 181.18Mn from KES 399.36Mn. The decline was driven by persistent oversupply in the global tea market, which continued to suppress demand and prices.
9.	**KCB Group**	PAT in Q3'2025 rose 3.4% y/y to KES 47.32Bn, supported by 12.4% growth in NII as funding costs eased. The loan book expanded 8.2% y/y, while non-funded income remained soft on weaker FX trading. NPLs rose to KES 222.07Bn, though stronger provisioning improved coverage. Overall performance was anchored by subsidiary resilience and a gradually recovering credit environment.
10.	**KPLC**	KPLC maintained its recovery trajectory into FY'25, supported by improved operational efficiency and disciplined cost management. Net earnings came in at KES 24.47Bn, a slight moderation from the record highs in FY'24 but still a strong underlying performance. The Board declared a total dividend of KES 1.00 per share comprising an interim payout of KES 0.20 and a proposed final dividend of KES 0.80.

Table 1: Summary of Latest Net Earnings Results

	Company	Comment
11.	**NCBA Group**	Net earnings grew 8.5% y/y to KES 16.38Bn in Q3'25, supported by strong NII growth (+27.4% y/y) as funding costs fell sharply in a softer rate environment. Loan and deposit contraction weighed on interest income, but asset quality improved, with gross NPLs down 6.0% y/y. Non-funded income was broadly stable, supported by solid digital lending fees despite weaker FX trading.
12.	**Safaricom**	Safaricom Group delivered a solid HY26 performance, with net income surging 52.1% y/y to KES 42.80Bn, driven by a 11.1% rise in service revenue to KES 199.92Bn and robust EBITDA growth of 34.9% to KES 101.31Bn. EBIT rose 54.5% to KES 65.22Bn, reflecting improved efficiency and cost optimization, while the customer base expanded 19.7% to 63.20Mn. Despite higher Capex (+72.1%), the Group maintained healthy liquidity and operational momentum, underscoring strong execution across key business segments
13.	**Stanbic Bank**	H1'25 Net earnings plunged by 9.2% y/y to KES 6.54 Bn weighed down by a 5.8% drop in net interest income to KES 11.83Bn as loans and advances contracted 14.6% y/y. Margins were, however, supported by a modest 0.9% growth in non-funded income to KES 7.62Bn. Notably, total operating expenses surged by 15.4%y/y gnawing into the margins. The Board of Directors recommended an interim dividend of KES 3.80 per share.
14.	**Standard Chartered Bank Kenya**	Q3'25 PAT fell 38.2% y/y to KES 9.79Bn, driven by softer revenues and a one-off KES 2.7Bn staff cost charge following a Supreme Court ruling. Core banking activity slowed amid weaker loan demand and reduced transaction volumes, while non-funded income was hit by a sharp drop in FX trading due to a stable shilling. On the positive side, asset quality improved, with gross NPLs easing to KES 9.13Bn and provisions declining.
15.	**Williamson Tea**	Net earnings declined to a loss of KES 166.44Mn from a profit of KES 529.95Mn. The business recorded a KES 392.22Mn loss from operations before tax which we believe was underpinned by oversupply in the global tea market, which pressured prices and demand.
16.	**Liberty Kenya Holdings**	H1'25 net earnings fell 58.9% y/y to KES 260Mn, down from KES 632Mn in H1'24, weighed by a weaker insurance service result (KES 225Mn vs. KES 577Mn) and higher net insurance finance expenses (-11.8% y/y to KES 1.25Bn). Investment income rose modestly 4.6% y/y to KES 2.08Bn, but was insufficient to offset muted insurance operations. EPS declined to KES 0.43 from 1.16, reflecting sustained earnings pressure.
17.	**CIC Insurance**	Net earnings declined 10.1% y/y to KES 638.5Mn, from KES 710.0Mn in H1'24. Performance was weighed down by weaker insurance service result, which dropped to KES 128.2Mn from KES 1.05Bn, reflecting higher service expenses. However, revenue momentum was partly supported by a 53.7% y/y rise in investment return to KES 2.75Bn, cushioning the bottom line. EPS stood at KES 0.23 from 0.30 in H1'24.
18.	**Jubilee Insurance**	H1'25 net profit rose 21.7% y/y to KES 3.06Bn, supported by stronger insurance finance income (+76.1% y/y) and a 15.0% y/y uplift in the insurance services result. While other income dipped 35.3% y/y, overall profitability remained firm, aided by disciplined cost management. EPS improved 20.3% y/y to KES 41.63, highlighting sustained earnings resilience and operational strength.

December 2025 Equities Market Highlights

- On a monthly perspective, market indices registered bullish sentiments with the **Nairobi All Share Index** rising by **3.0% m/m**, NSE-20 gaining **2.8% m/m,** and NSE-10 advancing by **6.3% m/m**.

- **In December, the market pared losses recorded in November, when investors took profits after sustained gains. Notably, turnover dropped by 41.9% on a yearly basis.** In our November Stock Recommendation release, we advised investors to take positions in counters that were still trading at a discount. At current market levels, we continue to recommend selective positioning. We believe investors will continue taking positions ahead of the full-year earnings season to lock in capital gains and dividends**.**

Table 2: Equity Market Statistics

Statistic	Dec-25	Nov-25	Dec-24	m/m change	y/y change
Equity Turnover (KES Mn)	16,807.39	14,176.50	28,947.52	▲ 25.8%	▼ (41.9%)
Market Cap (KES Bn)	2,944.54	2,857.36	1,939.74	▲ 3.1%	▲ 51.8%
NSE All Share Index (RHS)	186.58	181.06	123.48	▲ 3.0%	▲ 51.1%
NSE 10 Index	1,965.20	1,848.91	1,302.31	▲ 6.3%	▲ 50.9%
NSE 20 Index	3,139.19	3,052.73	2,010.65	▲ 2.8%	▲ 56.1%
NSE 25 Index	5,096.68	4,820.79	3,402.80	▲ 5.7%	▲ 49.8%
Foreign buys	7,482.91	3,087.95	2,730.72	▲ 142.3%	▲ 174.0%
Foreign sales	7,473.35	6,112.80	4,014.50	▲ 22.3%	▲ 86.2%
Net F. Flows	9.56	(3,024.84)	(1,283.77)	▲ 99.7%	▲ 99.3%
Total Volume Traded (Mn)	**509.65**	**491.84**	**473.64**	▲ 3.6%	▲ 7.6%

Source: NSE, AIB-AXYS Africa Research

- ***Home Afrika Ltd*** was the top gainer in December 2025 clocking an 22.9% m/m valuation gain to KES 1.34. ***East African Breweries Ltd*** was the second largest gainer rising 19.5% m/m to KES 263.00. ***Nairobi Securities Exchange*** advanced 12.5% m/m to KES 20.25. ***KCB Group*** was fourth, climbing 11.9% m/m to KES 65.75 and ***Eaagads Ltd*** was fifth gaining 10.4% m/m to KES 20.25.

- ***E.A Portland Cement*** was the top capital loser slipping 12.8% m/m to KES 73.50, ***Nation Media Group PLC*** was second shedding 10.8% m/m to KES 11.55 while ***Uchumi Supermarket*** was third trimming 7.2% m/m to KES 1.03. ***KenGen Co*** was fourth trimming 7.1% to KES 9.18 while ***I&M Holdings*** was fifth trimming 6.2% m/m to KES 42.45.

Table 3: Top Gainers and Losers December 2025

Top Gainers 2025	Closing Price		% Change
Home Afrika Ltd	KES	1.34	▲ 22.9%
East African Breweries	KES	263.00	▲ 19.5%
Nairobi Securities Exchange	KES	20.25	▲ 12.5%
KCB Group	KES	65.75	▲ 11.9%
Eaagads Ltd	KES	20.25	▲ 10.4%
Umeme Ltd	KES	7.82	▲ 10.1%
Kapchorua Tea Kenya	KES	231.50	▲ 10.0%
Co-operative Bank of Kenya	KES	23.95	▲ 9.6%
Carbacid Investments	KES	29.35	▲ 9.1%
Olympia Capital Holdings	KES	8.22	▲ 8.7%

Top Losers 2025	Closing Price		% Change
E.A. Portland Cement	KES	73.50	▼ (12.8%
Nation Media Group Plc	KES	11.55	▼ (10.8%
Uchumi Supermarket	KES	1.03	▼ (7.2%)
KenGen Co.	KES	9.18	▼ (7.1%)
I&M Holdings	KES	42.45	▼ (6.2%)
Car & General	KES	51.00	▼ (5.6%)
Flame Tree Group Holdings	KES	1.57	▼ (4.8%)
Standard Group	KES	6.04	▼ (4.4%)
Sasini Plc	KES	17.85	▼ (2.5%)
Safaricom Plc	KES	28.35	▼ (2.2%)

Safaricom Plc recorded the highest turnover in December 2025, with aggregate turnover clocking KES 5,394.0 Mn. ***Equity Group Holdings*** was second, with turnover amounting to KES 4,334.7 Mn. ***KCB Group*** came in third, with total turnover clocking KES 3,297.1 Mn.

Foreigners accounted for the larger share of trading activity in ***Equity Group Holdings, Safaricom PLC***, ***East African Breweries, ABSA New Gold ETF and British American Tobacco Kenya.***

Table 4: Top Movers December 2025

Top Movers 2025	Turnover (KES Mn)	Turnover (USD Mn)	Foreigners' Participation	Closing Price	% Change (YTD)
Safaricom Plc	KES 5,394.0	$41.75	56.1%	KES 28.35	▼ (2.2%)
Equity Group Holdings	KES 4,334.7	$33.55	59.4%	KES 66.75	▲ 6.0%
KCB Group	KES 3,297.1	$25.52	35.9%	KES 65.75	▲ 11.9%
East African Breweries	KES 786.5	$6.09	51.6%	KES 263.00	▲ 19.5%
Kenya Power & Lighting Co	KES 472.0	$3.65	5.3%	KES 13.60	▲ 3.4%
Co-operative Bank of Kenya	KES 393.5	$3.05	1.4%	KES 23.95	▲ 9.6%
Standard Chartered Bank	KES 276.9	$2.14	6.1%	KES 297.25	▲ 3.6%
British American Tobacco Kenya	KES 239.9	$1.86	30.0%	KES 459.00	▲ 5.1%
KenGen Co.	KES 223.4	$1.73	2.9%	KES 9.18	▼ (7.1%)
NCBA Group	KES 209.1	$1.62	1.5%	KES 84.00	▲ 3.7%
Absa Bank Kenya	KES 205.5	$1.59	0.7%	KES 24.70	▲ 8.6%
Jubilee Holdings	KES 160.1	$1.24	7.3%	KES 335.00	▲ 4.7%
ABSA New Gold ETF	KES 133.4	$1.03	47.9%	KES 5,375.00	▲ 2.6%
Stanbic Holdings	KES 113.0	$0.87	28.8%	KES 197.75	▲ 8.1%
Sameer Africa	KES 102.1	$0.79	0.0%	KES 14.25	▲ 2.2%

Source: NSE, AIB-AXYS Africa Research

AIB-AXYS Africa Equities Coverage Universe

Stock	Strengths	Risks	Recommendation
ABSA Bank Kenya Current Price: KES 26.05 Target Price: KES 25.25 Downside: 3.1%	• Diversified fee income and strong operating efficiency supporting profitability. • Improved asset quality with NPL ratio easing to 12.6%.	• NII pressure from weaker loan margins and modest loan book contraction. • Continued reliance on securities income due to muted private-sector credit demand.	*SELL*
Co-operative Bank Current Price: KES 24.75 Target Price: KES 25.79 Upside: 4.2%	• Strong NII growth supported by an expanding loan book and easing provisions. • First-ever interim dividend signals strong capital position and shareholder focus.	• Rising NPL stock, especially in building & construction due to pending bills. • FX income remains subdued, limiting non-funded income momentum.	*HOLD*
Equity Group Current Price: KES 69.25 Target Price: KES 76.56 Upside: 10.6%	• Strong earnings performance: Equity posted 32.2% y/y growth in PAT in Q3 2025. • Regional diversification & growth: Its subsidiaries (in DRC, Uganda, Rwanda, Tanzania) are contributing significantly and the business is less Kenya-centric. • An expanding loan book to support, interest income growth.	• NPLs and coverage remain a risk given the regional and SME exposures. The cost of risk was contained but is still something to monitor. • As the Group expands across multiple markets, it becomes more exposed to macroeconomic risks in those countries.	*BUY*
Diamond Trust Bank (DTB-K) Current Price: KES 115.00 Target Price: KES 125.31 Upside: 9.0%	• Strong NII growth (+17.9% y/y) supported by loan book expansion • Solid funding base with robust deposit growth (+15.5% y/y).	• NPLs rising, driving higher provisioning costs. • Non-funded income softness due to weaker FX flows.	*BUY*
KCB Group Current Price: KES 66.25 Target Price: KES 72.87 Upside: 10.0%	• Strong NII performance supported by lower funding costs. • Regional subsidiaries continue to anchor overall earnings resilience.	• Elevated NPL levels (KES 222.00Bn), especially in real estate and trade. • Weak non-funded income due to subdued FX trading performance.	*BUY*
Stanbic Kenya Current Price: KES 197.25 Target Price: KES 186.11 Downside: 5.6%	• Rebound in Non-Funded Income reaching to KES 7.62 Bn from KES 7.56 Bn, supported by fees and commissions. • A progressive dividend policy	• Declining net interest income on the back of an easing monetary environment. • Surging cost to income pointing to declining operational efficiency.	*HOLD*

AIB-AXYS Africa Equities Coverage Universe

Stock	Strengths	Risks	Recommendation
NCBA Group Current Price: KES 90.00 Target Price: KES 81.54 Downside: 9.4%	• Strong NII growth (+27.4% y/y) driven by sharply lower funding costs. • Improved asset quality with gross NPLs declining 6% y/y. • A progressive dividend policy	• Declining deposits and loan book contraction weighing on interest income. • Non-funded income under pressure from softer FX trading margins.	*SELL*
Standard Chartered Bank Current Price: KES 298.25 Target Price: KES 266.04. Downside: 10.8%	• Improved asset quality with NPLs falling significantly. • Progressive and consistent divided policy • Growing wealth management and asset management income providing diversification.	• Sharp drop in profitability due to one-off costs and weak FX trading performance. • Slower credit uptake and reduced transaction volumes limiting revenue growth.	*SELL*
Kenya RE Current Price: KES 3.01 Target Price: KES 3.33 Upside: 10.6%	• Strategic investment initiatives by management to boost investment income • Insurance penetration in the region remains relatively low, presenting room for growth • A resilient underwriting business • In addition to tangible upside potential, dividend yield enhances total return	• Surge in claims, especially in the general insurance segment, which erodes the bottom line	*BUY*
Safaricom Plc Current Price: KES 29.00 Target Price: KES 34.30 Upside: 18.3%	• Excellent H1 2025/26 results: Group net income rose 52.1% y/y to KES 42.8Bn, underpinned by strong service revenue growth (11.2% y/y) and narrowing losses in Ethiopia. • Mobile data revenue overtook voice for the first time, and M-Pesa revenue continues to grow substantially.	• Safaricom's Ethiopian business still reports losses and faces currency, regulatory, and competitive headwind. • Lengthened break-even projections in the Ethiopia unit.	*BUY*

AIB-AXYS Africa Equities Coverage Universe

Stock	Strengths	Risks	Recommendation
Jubilee Holdings Current Price: KES 335.00 Target Price: KES 333.50 Downside: 0.4%	• Growing insurance revenue in a competitive operating environment point to a healthy business and continues to drive the bottom line. • Progressive dividend policy. • A resilient asset management business.	• Industry-wide increase in claims ratio. • Intensifying competition in the industry, driven by the entry of banking sector players through bancassurance subsidiaries, may constrain revenue growth potential.	*SELL*
I&M Group Current Price: 43.60 Target Price: 48.46 Upside: 11.1%	• Strong capital and liquidity buffers supporting continued loan growth and stability. • Stable asset quality with steady NPL levels and improved provision coverage.	• Non-interest income volatility, especially FX-related revenues. • Moderate loan growth, which may cap top-line acceleration.	*BUY*
Kapchorua Tea Current Price: KES 235.50 Target Price: KES 260.50 Upside: 10.6%	• Efficient cost management supports agile return on equity. • Progressive dividend policy	• Escalation of geopolitical tensions risk disrupting key export market destinations. • Strengthening shilling presents downside risks for offshore sales. • Torrential rains risks destroying biological assets.	*BUY*
CIC Insurance Current Price: KES 4.56 Target Price: KES 4.90 Upside: 7.5%	• A solid core business line evidenced by 8.3% y/y growth in insurance revenue. • Management's strategic investments delivered exceptional results, with investment return growing 53.7% y/y to KES 2.7 Bn in H1'25. • A resilient asset management business is expected to boost the bottom line	• Dividend yield trails the industry average • Industry-wide rise in claims ratio.	*BUY*
Williamson Tea Current Price: KES 149.00 Target Price: KES 159.00 Upside: 6.7%	• Growing demand for diverse tea blends offer new growth frontiers. • Large disparity between prevailing market price and book value presents ample room for long-term price discovery. • Progressive dividend policy	• Escalation of geopolitical tensions risk disrupting key export market destinations. • Strengthening shilling presents downside risks for offshore sales.	*HOLD*

AIB-AXYS Africa Equities Coverage Universe

Stock	Strengths	Risks	Recommendation
Williamson Tea Current Price: KES 149.00 Target Price: KES 159.00 Upside: 6.3%	• Growing demand for diverse tea blends offer new growth frontiers. • Large disparity between prevailing market price and book value presents ample room for long-term price discovery. • Progressive dividend policy	• Escalation of geopolitical tensions risk disrupting key export market destinations. • Strengthening shilling presents downside risks for offshore sales.	*HOLD*
KPLC Current Price: KES 14.00 Target Price: KES 15.15 Upside: 8.2%	• Continued optimization of business operations has seen working capital improvement during the half year, coming in at negative KES 18.99 Bn from negative KES 42.46 Bn registered at 2024 • Finance costs continue to decline due to the strengthening of the shilling, with retained earnings surging	• Infrastructure constraints and elevated price level could hinder the potential upside for investors, with many manufactures and high consumption clients opting to use their own power sources in a bid to tame cost pressures.	*BUY*
Liberty Kenya Holdings Current Price: KES 10.20 Target Price: KES 10.85 Upside: 6.4%	• Progressive dividend policy. • Core business stability is expected to augment profitability. • The launch of a fully digital insurance solution is expected to improve its market positioning as well as enhance customer experience.	• Intensifying competition in the industry, driven by the entry of banking sector players through bancassurance subsidiaries, may constrain revenue growth potential. • A surge in motor and medical claims is expected to temper net earnings.	*HOLD*
BAT Kenya Current Price: KES 463.00 Target Price: KES 468.72 Upside: 1.2%	• Organic consumer growth, driving consistent revenue expansion. • Impressive operational efficiency has seen total operating costs decline by 6.0% y/y to KES 7.5 Bn. • Reintroduction of oral nicotine pouches stands to drive revenues. • Progressive dividend policy.	• Proliferation of illicit trade poses a challenge to revenue growth. • Shrinking purchasing power may limit sales. • Potential risks due to ongoing tax review	*HOLD*

AIB-AXYS Africa *Shari'ah Equities* Portfolio Recommendation

Stock	Strengths	Risks	Recommendation
Williamson Tea Current Price: KES 149.00 Target Price: KES 159.00 Upside: 6.7%	• Growing demand for diverse tea blends offer new growth frontiers. • Large disparity between prevailing market price and book value presents ample room for long-term price discovery. • Progressive dividend policy	• Escalation of geopolitical tensions risk disrupting key export market destinations. • Strengthening shilling presents downside risks for offshore sales.	*HOLD*
Kapchorua Tea Current Price: KES 235.50 Target Price: KES 260.50 Upside: 10.6%	• Efficient cost management supports agile return on equity. • Progressive dividend policy	• Escalation of geopolitical tensions risk disrupting key export market destinations. • Strengthening shilling presents downside risks for offshore sales.	*BUY*
KenGen Plc Current Price: KES 9.16 Target Price: KES 11.40 Upside: 24.5%	• Shifting weather patterns supporting an acceleration in geothermal energy production. • Ongoing expansion of Olkaria I and IV plants to step up energy capacity by an extra 58MW by 2025.	• Adverse changes in weather patterns may lead to a decline in geothermal energy production. • Existing thermal power operations remains expensive owing to rising fuel costs.	*BUY*
KPLC Current Price: KES 14.00 Target Price: KES 15.15 Upside: 8.2%	• Continued optimization of business operations has seen working capital improvement during the half year, coming in at negative KES 18.99 Bn from negative KES 42.46 Bn registered at 2024 • Finance costs continue to decline due to strengthening of the shilling, with retained earnings surging	• Infrastructure constraints and elevated price level could hinder the potential upside for investors, with many manufacturers and high consumption clients opting to use their own power sources in a bid to tame cost pressures.	*BUY*
Safaricom Plc Current Price: KES 29.00 Target Price: KES 34.30 Upside: 18.3%	• Excellent H1 2025/26 results: Group net income rose 52.1% y/y to KES 42.8Bn, underpinned by strong service revenue growth (11.2% y/y) and narrowing losses in Ethiopia. • Mobile data revenue overtook voice for the first time, and M-Pesa revenue continues to grow substantially.	• Safaricom's Ethiopian business still reports losses and faces currency, regulatory, and competitive headwind. • Lengthened break-even projections in the Ethiopia unit.	*BUY*

AIB-AXYS December 2025 Market Scorecard

AGRICULTURAL	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Eaagads Ltd	**20.25**	-	▲ 68.8%	0	40.23	**0.02%**	0.37	-	54.7x	0.5x	0.0%	0.0%	0.9%	0.8%
Kakuzi Plc	**402.00**	▲ 0.6%	▲ 4.4%	117	279.19	**0.26%**	(9.37)	-	(42.9x)	1.4x	0.0%	0.0%	0.0%	0.0%
Kapchorua Tea Kenya Plc	**231.50**	▲ 1.0%	▼ (1.5%)	136	255.42	**0.06%**	23.16	25.00	10.0x	0.9x	10.8%	107.9%	9.1%	6.7%
The Limuru Tea Co. Plc	**460.00**	-	▲ 31.4%	5	63.73	**0.04%**	(6.34)	-	(72.6x)	7.2x	0.0%	0.0%	0.0%	0.0%
Sasini Plc	**17.85**	▼ (1.9%)	▲ 19.8%	4,200	92.72	**0.14%**	(2.75)	-	(6.5x)	0.2x	0.0%	0.0%	0.0%	0.0%
Williamson Tea Kenya Plc	**149.50**	-	▼ (34.0%)	1,159	335.95	**0.09%**	(8.76)	10.00	(17.1x)	0.4x	6.7%	(114.2%)	0.0%	0.0%
Industry Median		**-**	**▲ 12.1%**			**0.61%**			**(11.8x)**	**0.7x**	**0.0%**	**0.0%**	**0.0%**	**0.0%**

AUTOMOBILES & ACCESSORIES	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Car & General (K) Ltd	**51.00**	▼ (1.4%)	▲ 124.2%	1,208	155.99	**0.07%**	(3.33)	0.30	(15.3x)	0.3x	0.6%	(9.0%)	0.0%	0.0%

BANKING	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
ABSA Bank Kenya Plc	**24.70**	▲ 4.0%	▲ 36.8%	145,104	17.37	**4.49%**	4.80	1.75	5.1x	1.4x	7.1%	45.6%	27.6%	4.7%
BK Group Plc	**42.50**	▲ 1.1%	▲ 30.6%	5,565	50.52	**1.27%**	8.25	2.64	5.2x	0.8x	6.2%	102.9%	16.3%	3.0%
Diamond Trust Bank Kenya Ltd	**114.50**	▲ 1.1%	▲ 65.9%	3,036	355.68	**1.07%**	30.78	7.00	3.7x	0.3x	6.1%	25.6%	8.7%	1.3%
Equity Group Holdings Plc	**66.75**	▲ 0.4%	▲ 38.2%	91,634	80.35	**8.43%**	15.74	4.25	4.2x	0.8x	6.4%	34.4%	19.6%	3.3%
HF Group Plc	**9.96**	▲ 0.4%	▲ 120.8%	69,111	11.64	**0.50%**	0.90	-	11.1x	0.9x	0.0%	0.0%	7.7%	1.7%
I&M Group Plc	**42.45**	▼ (0.1%)	▲ 17.1%	230,852	65.53	**2.47%**	10.64	3.20	4.0x	0.6x	7.5%	34.4%	16.2%	2.9%
KCB Group Plc	**65.75**	▲ 1.2%	▲ 58.1%	171,896	96.01	**7.07%**	18.83	4.00	3.5x	0.7x	6.1%	21.4%	19.6%	3.0%
NCBA Group	**84.00**	-	▲ 74.3%	331,740	72.99	**4.63%**	14.05	5.75	6.0x	1.2x	6.8%	43.3%	19.2%	3.5%
Stanbic Holdings Plc	**197.75**	▲ 0.3%	▲ 44.1%	2,840	187.86	**2.62%**	33.01	22.70	6.0x	1.1x	11.5%	65.4%	17.6%	2.8%
Standard Chartered Bank Kenya Ltd	**297.25**	▼ (0.9%)	▲ 6.3%	7,670	168.79	**3.76%**	40.56	8.00	7.3x	1.8x	2.7%	22.1%	24.0%	4.0%
The Co-operative Bank of Kenya Ltd	**23.95**	-	▲ 45.6%	918,054	27.98	**4.70%**	4.72	2.50	5.1x	0.9x	10.4%	57.7%	16.9%	3.4%
Industry Median		**▲ 0.4%**	**▲ 44.1%**			**40.99%**			**5.1x**	**0.9x**	**6.4%**	**34.4%**	**17.6%**	**3.0%**

COMMERCIAL AND SERVICES	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Eveready East Africa Ltd	**1.37**	▼ (4.2%)	▲ 19.1%	34,244	0.30	**0.01%**	(0.28)	-	(4.9x)	4.6x	0.0%	0.0%	0.0%	0.0%
Express Kenya Plc	**7.40**	▼ (3.6%)	▲ 105.6%	367	7.74	**0.01%**	(2.26)	-	(3.3x)	1.0x	0.0%	0.0%	0.0%	0.0%
Homeboyz Entertainment Plc	**4.66**	-	-	0	-0.35	**0.01%**	(0.71)	-	(6.6x)	(13.2x)	0.0%	0.0%	0.0%	0.0%
Kenya Airways Ltd	**3.53**	▼ (2.5%)	▼ (7.8%)	206,058	-22.25	**0.69%**	0.74	-		(0.2x)	0.0%	0.0%	(4.2%)	3.0%
Longhorn Publishers Plc	**2.90**	▲ 0.7%	▲ 26.1%	2,487	-0.52	**0.03%**	(1.89)	-	(1.5x)	(5.6x)	0.0%	0.0%	0.0%	0.0%
Nairobi Business Ventures Ltd	**1.47**	▲ 0.7%	▼ (26.9%)	30,708	1.41	**0.07%**	0.01	-	159.2x	1.0x	0.0%	0.0%	0.7%	0.4%
Nation Media Group Plc	**11.55**	▼ (8.0%)	▼ (19.8%)	187,147	2.50	**0.08%**	(3.00)	-	(3.9x)	4.6x	0.0%	0.0%	0.0%	0.0%
Sameer Africa Plc	**14.25**	▼ (2.1%)	▲ 486.4%	6,685	2.98	**0.13%**	0.93	-	15.3x	4.8x	0.0%	0.0%	31.2%	16.3%
Standard Group Plc	**6.04**	▲ 8.2%	▲ 20.3%	13,277	-28.82	**0.02%**	(10.15)	-	(0.6x)	(0.2x)	0.0%	0.0%	0.0%	0.0%
TPS Eastern Africa (Serena) Ltd	**14.70**	▼ (2.0%)	▼ (1.3%)	515	62.15	**0.09%**	4.54	0.35	3.2x	0.2x	2.4%	7.7%	7.3%	4.2%
Uchumi Supermarket Plc	**1.03**	▲ 9.6%	▲ 505.9%	395,057	-11.73	**0.01%**	(5.56)	-	(0.2x)	(0.1x)	0.0%	0.0%	0.0%	0.0%
WPP Scangroup Plc	**2.55**	▲ 2.8%	▲ 2.8%	5,081	10.89	**0.04%**	(1.17)	-	(2.2x)	0.2x	0.0%	0.0%	0.0%	0.0%
Industry Median		**▼ (1.0%)**	**▲ 11.0%**			**0.49%**			**(1.9x)**	**0.2x**	**0.0%**	**0.0%**	**0.0%**	**0.0%**

CONSTRUCTION & ALLIED	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Bamburi Cement Ltd	**54.00**	-	▼ (1.8%)	0	69.50	**0.66%**	(1.97)	23.72	(27.4x)	0.8x	43.9%	(850.2%)	0.0%	0.0%
Crown Paints Kenya Plc	**54.50**	▼ (0.5%)	▲ 65.7%	2,169	25.41	**0.26%**	1.34	-	40.7x	2.1x	0.0%	0.0%	5.3%	2.1%
E.A Cables Ltd	**1.71**	-	▲ 58.3%	0	0.34	**0.01%**	0.37	-	4.6x	5.1x	0.0%	0.0%	110.1%	1.9%
E.A Portland Cement Co. Ltd	**73.50**	▲ 4.6%	▲ 140.2%	1,568	226.97	**0.22%**	20.26	-	3.6x	0.3x	0.0%	0.0%	8.9%	5.2%
Industry Median		**-**	**▲ 62.0%**			**1.15%**			**4.1x**	**1.5x**	**0.0%**	**0.0%**	**7.1%**	**2.0%**

ENERGY & PETROLEUM	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
KenGen Co. Plc	**9.18**	▲ 0.2%	▲ 152.2%	605,653	43.15	**2.03%**	1.94	0.90	4.7x	0.2x	9.8%	56.6%	4.5%	2.5%
Kenya Power & Lighting Co Plc	**13.60**	▲ 1.5%	▲ 182.7%	169,260	56.03	**0.89%**	12.54	1.00	1.1x	0.2x	7.4%	6.5%	22.4%	6.3%
TotalEnergies Marketing Kenya Plc	**38.55**	▲ 2.9%	▲ 92.8%	5,626	51.78	**0.81%**	4.74	1.92	8.1x	0.7x	5.0%	42.9%	9.2%	4.9%
Umeme Ltd	**7.82**	▼ (1.8%)	▼ (53.3%)	53,491	1.56	**0.42%**	(11.58)	7.96	(0.7x)	5.0x	101.8%	(68.8%)	0.0%	0.0%
Industry Median		**▲ 0.9%**	**▲ 122.5%**			**4.15%**			**2.9x**	**0.5x**	**8.6%**	**24.7%**	**6.8%**	**3.7%**

INSURANCE	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Britam Holdings Plc	**9.10**	▲ 0.2%	▲ 56.9%	42,780	12.27	**0.77%**	1.86	-	4.9x	0.7x	0.0%	0.0%	15.2%	2.1%
CIC Insurance Group Ltd	**4.57**	▲ 0.9%	▲ 112.6%	124,457	4.64	**0.40%**	1.22	0.13	3.7x	1.0x	2.8%	12.5%	26.3%	4.5%
Jubilee Holdings Ltd	**335.00**	-	▲ 93.1%	126	743.02	**0.81%**	72.14	13.50	4.6x	0.5x	4.0%	20.8%	9.7%	2.3%
Kenya Re- Insurance Corporation Ltd	**3.01**	▲ 0.3%	▲ 135.2%	5,856,700	9.27	**0.56%**	0.81	0.15	3.7x	0.3x	5.0%	19.0%	8.7%	6.6%
Liberty Kenya Holdings Ltd	**10.10**	▲ 0.5%	▲ 51.2%	14,409	2.90	**0.18%**	1.86	-	5.4x	3.5x	0.0%	0.0%	64.1%	23.6%
Sanlam Kenya Plc	**8.46**	▼ (0.2%)	▲ 70.9%	4,686	5.98	**0.18%**	9.95	-	0.9x	1.4x	0.0%	0.0%	166.3%	15.5%
Industry Median		**▲ 0.3%**				**2.91%**			**4.2x**	**0.9x**	**1.4%**	**6.3%**	**20.7%**	**5.6%**

INVESTMENT	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Centum Investment Co Plc	**13.85**	▲ 6.1%	▲ 40.2%	18,964	64.49	**0.31%**	2.09	0.32	6.6x	0.2x	2.3%	15.6%	3.2%	1.6%
Home Afrika Ltd	**1.34**	▲ 5.5%	▲ 262.2%	635,527	-4.41	**0.02%**	0.17	-	7.9x	(0.3x)	0.0%	0.0%	(3.9%)	1.9%
Kurwitu Ventures Ltd	**1,500.00**	-	-	0	502.63	**0.01%**	(35.95)	-	(41.7x)	3.0x	0.0%	0.0%	0.0%	0.0%
Olympia Capital Holdings Ltd	**8.22**	▲ 3.5%	▲ 193.6%	15,610	30.87	**0.01%**	0.26	-	31.5x	0.3x	0.0%	0.0%	0.8%	0.5%
Trans-Century Plc	**1.12**	-	▲ 187.2%	0	-38.80	**0.01%**	(6.10)	-	(0.2x)	(0.0x)	0.0%	0.0%	0.0%	0.0%
Industry Median		**▲ 3.5%**	**▲ 187.2%**			**0.36%**			**6.6x**	**0.2x**	**0.0%**	**0.0%**	**0.0%**	**0.5%**

INVESTMENT SERVICES	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Nairobi Securities Exchange Plc	**20.25**	▲ 0.7%	▲ 237.5%	46,204	4.01	**0.18%**	0.45	0.32	45.0x	5.1x	1.6%	71.1%	11.2%	5.1%

MANUFACTURING & ALLIED	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
B.O.C Kenya Plc	**127.00**	▼ (1.4%)	▲ 43.1%	1,140	109.00	**0.08%**	10.84	2.50	11.7x	1.2x	2.0%	23.1%	9.9%	8.6%
British American Tobacco Kenya Plc	**459.00**	▼ (0.2%)	▲ 22.1%	8,242	147.65	**1.54%**	37.97	55.00	12.1x	3.1x	12.0%	122.7%	25.7%	22.7%
Carbacid Investments Plc	**29.35**	▲ 1.2%	▲ 40.1%	6,011	20.17	**0.25%**	3.94	2.00	7.4x	1.5x	6.8%	50.8%	19.5%	20.9%
East African Breweries Plc	**263.00**	▼ (0.9%)	▲ 49.9%	9,685	40.73	**9.13%**	12.47	8.00	21.1x	6.5x	3.0%	64.2%	30.6%	9.9%
Flame Tree Group Holdings Ltd	**1.57**	▼ (1.3%)	▲ 57.0%	50,980	6.88	**0.01%**	1.13	-	1.4x	0.2x	0.0%	0.0%	16.4%	5.4%
Africa Mega Agricop Plc	**70.50**	-	▲ 0.7%	0	2.18	**0.03%**	0.13	-	542.3x	32.3x	0.0%	0.0%	6.0%	1.2%
Unga Group Ltd	**23.20**	▼ (2.1%)	▲ 54.7%	799	70.45	**0.06%**	(0.74)	-	(31.4x)	0.3x	0.0%	0.0%	0.0%	0.0%
Shri Krishana Overseas Plc	**8.16**	▼ (0.5%)	▲ 38.3%	1,116		**0.01%**								
Industry Median			**▲ 43.1%**			**11.10%**			**11.7x**	**1.5x**	**2.0%**	**23.1%**	**16.4%**	**8.6%**

TELECOMMUNICATION	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Safaricom Plc	**28.35**	▲ 1.1%	▲ 66.3%	528,958	5.38	**38.00%**	2.11	1.20	13.4x	5.3x	4.2%	69.0%	39.2%	16.6%
Market Average		**▲ 0.7%**	**▲ 102.6%**						**5.8x**	**1.5x**	**2.2%**		***10.8%***	***4.1%***

Upcoming Corporate Actions

Company	Interim/Special Dividend	Final Dividend	Book Closure	Dividend Payment
KPLC		KES 0.80	2-Dec-25	30-Jan-26
KENGEN		KES 0.90	27-Nov-25	12-Feb-26
I&M Bank	KES 1.50		15-Dec-25	14-Jan-26

Source: NSE, AIB-AXYS Africa Research

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